CSIS JAPAN CHAIR

Japan Daily Brief

Tuesday, November 3, 2026

2,025 words · 8 min read

RE: BOJ signals Dec hike · DPRK cluster-warhead cruise missile test · Constitution Day 80th · Defense budget doubling · Okinawa Policy Council

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
63,081.86	158.23	$106.50	1.25%
▼ -0.29%	▲ +0.15%	▼ -7.29%	

TOP STORIES

DEFENSE

Japan gets serious about defense spending hike as year-end deadline looms

The government and ruling coalition are reportedly considering nearly doubling defense spending over the next five years, with a year-end deadline looming for a formal decision. The Japan Times reports the scale under discussion would represent one of the largest peacetime defense expansions in Japanese history, building on the target to reach 2% of GDP.

THE JAPAN TIMES

ECONOMY-BOJ

BOJ holds at 1.25%, December hike locked in by markets; neutral-rate path murky

The Bank of Japan kept its policy rate at 1.25% but market pricing has solidified a December increase following BOJ Governor Kazuo Ueda's post-meeting press conference. Reuters reports neutral-rate uncertainty continues to cloud the trajectory beyond 1.5%, with analysts split on the pace of subsequent moves.

REUTERS · NOV 2-3, 2026

DPRK

North Korea conducts strategic cruise missile test with dispersal warhead, KCNA says

KCNA confirmed North Korea tested a strategic cruise missile fitted with a cluster dispersal warhead — described as the first such test — with multiple outlets reporting the weapon is assessed capable of blanketing up to 13–15 acres per strike. Pyongyang separately issued a statement slamming Japan's missile-system deployments and joint US-Japan drills, warning of rising tensions.

REUTERS

POLITICS-DIET

Path to amendment uncertain 80 yrs after promulgation of Japan Constitution

Japan on November 3 observed the 80th anniversary of its Constitution's promulgation, with Mainichi reporting that prospects for a first-ever amendment — particularly the addition of an emergency powers clause — remain

unclear. Supporters argue the clause is needed for rapid disaster response; critics warn it could concentrate executive authority.

MAINICHI

POLITICS-DIET

Japan launches a new national agency to deal with disasters

Japan officially stood up a new national agency dedicated to disaster response, per Washington Post reporting, institutionalizing capabilities that had previously been distributed across ministries. The launch follows years of major seismic and flooding events and addresses a longstanding gap in Japan's emergency governance architecture.

WASHINGTON POST

DEFENSE

Ukraine Presses Japan for Interceptor Missiles as Russian Drones Get Faster

Ukraine has formally pressed Japan for interceptor missiles as Russian drones have grown faster, per Japan Forward, citing former Defense Minister Itsunori Onodera. Japan eased arms-export rules in April but restrictions on transferring weapons to countries actively at war continue to complicate the request.

JAPAN FORWARD

STAT OF THE DAY

$500 billion

Japan's proposed five-year defense spending plan under consideration

The government and ruling coalition are reportedly weighing nearly doubling defense spending over five years, with a year-end deadline looming for a decision.

Japan gets serious about defense spending hike as year-end deadline looms — Japan Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · TUESDAY, NOVEMBER 3, 2026

PM Watch: No confirmed PM appearance today · 4 day(s) since last confirmed appearance

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ holds policy rate at 1.25%, market consensus locks in December hike

The Bank of Japan kept its benchmark rate at 1.25% at its latest meeting, but BOJ Governor **Kazuo Ueda**'s post-meeting press conference and subsequent market commentary have solidified expectations for a December increase, with the path beyond 1.5% described as uncertain given neutral-rate ambiguity. Reuters reported the BOJ has 'locked in' a December hike in market pricing.

→ Google News ↗

財務省 · MINISTRY OF FINANCE · *Finance Minister Satsuki Katayama*

Katayama affirms joint US-Japan FX statement persists; pledges action against disorderly yen moves

Finance Minister **Satsuki Katayama** stated that the joint foreign-exchange statement with the United States remains in force and that Tokyo will act against disorderly currency movements, a signal directed at USD/JPY, which stood at 158.23 on November 3.

→ fxstreet.com ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS · *State Minister for Foreign Affairs Horii*

State Minister Horii visits Spain

State Minister for Foreign Affairs Horii traveled to Spain in a visit announced by MOFA; no additional substantive outcomes were detailed in available articles, but the trip coincides with the confirmed deaths of two Japanese nationals in last week's Spanish high-speed train crash.

→ MOFA ↗

DIET SESSIONS / LDP

LDP

Scandal-ridden ex-farm minister handed out free headbands at election rally, raising political ethics concerns

A former agriculture minister with an existing scandal record distributed free headbands at an election rally, per Kyodo News — an act that raises additional political-ethics questions under rules governing electoral gift-giving, adding to the pressure on the ruling party's public standing.

● PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**

Discourse: Kyodo's Takaichi Cabinet approval fell below 50% for the first time since she took office, with respondents citing 'no alternative' as the primary reason for continued support — a fragile approval base as the Diet debates the tax bill and a major defense spending decision looms.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

SEMICONDUCTORS · NIKKEI ASIA · AISIN

Aisin develops new AI chip cutting energy consumption by 98%

Toyota group supplier **Aisin** has developed a new category of AI chip that reduces energy use by *98%* compared with conventional designs, per Nikkei Asia — a development relevant to Japan's broader push to compete in the AI semiconductor space alongside Rapidus and TSMC Kumamoto.

FINANCE · REUTERS

Citi: Japanese, Korean, Taiwanese firms' US investment set to keep climbing

Citi analysts project continued growth in US-bound investment from Japanese, South Korean, and Taiwanese firms, per Reuters, reflecting sustained momentum in the nearshoring and supply-chain-diversification trend that has anchored the $550 billion US-Japan strategic investment framework.

MANUFACTURING · MAINICHI · SUNTORY HOLDINGS

Suntory Holdings reports personal data leak affecting ~100,000 people

Leading beverage maker **Suntory Holdings** disclosed that personal data of approximately *100,000 people* was leaked, joining a growing list of Japanese firms reporting breaches amid a surge in cyberattack activity that has prompted government-level cybersecurity directives.

REGIONAL PRESSURE WATCH

Heavy — 43 items (27 DPRK, 9 BOJ, 5 Chief Cabinet Sec, 1 China MOFA, 1 Kantei)

CHINA

China's Foreign Ministry urged 'relevant parties to stick to political settlement' of the Korean Peninsula issue following North Korea's cluster-warhead cruise missile test, per Global Times — Beijing's standard framing deflecting pressure from Pyongyang's escalatory testing while signaling to Tokyo that Beijing remains the preferred interlocutor on Korean Peninsula stability. No new China Coast Guard or PLA activity near the Senkakus is reported in today's data.

NORTH KOREA

North Korea conducted the first confirmed test of a cruise missile fitted with a cluster dispersal warhead — described by KCNA as capable of blanketing *13–15 acres* per strike — and separately issued a statement condemning Japan's missile-system deployments and US-Japan joint drills, warning of rising tensions around the Korean Peninsula. The Hwasong-11D ballistic variant with cluster warhead was also reported tested.

RUSSIA

Russia's parliament speaker expressed concern over Japan's 'accelerated remilitarization,' per TASS — a standing rhetorical signal that does not represent new operational or territorial pressure. No new Russian military activity near Hokkaido or the Sea of Okhotsk is reported in today's data; the Hokkaido Shimbun reporter Yuki Imai detention case remains unresolved per the persistent tracker.

Senkaku / ECS: No new China Coast Guard intrusion, patrol-day record, or PLA activity near the Senkakus is reported in today's Tier 1 or Tier 4 data; the baseline CCG near-daily contiguous zone presence is assumed to persist.

Bottom line: North Korea's first cluster-warhead cruise missile test — with an explicit rebuke of Japan's missile posture — marks a qualitative addition to Pyongyang's arsenal and is directly directed at the logic

underpinning Japan's counterstrike buildup. South Korea-Japan vice ministerial talks on North Korea are set to follow in the near term.

U.S.-JAPAN RELATIONS

ALLIANCE · NIKKEI ASIA

US defense experts increasingly open to Japan operating nuclear-powered submarines

US defense analysts are growing more receptive to Japan acquiring nuclear-powered (not nuclear-armed) submarines as a counterweight to Chinese naval expansion in Asian waters, per Nikkei Asia — a shift in expert opinion with direct implications for alliance defense-industrial cooperation and extended deterrence architecture.

BASING · THE HINDU

Japan urges US to enforce discipline after second US Marine arrest

Japan has formally urged the United States to enforce discipline following the arrest of a second US Marine, per The Hindu, maintaining pressure on USFJ conduct at a moment when host-nation support negotiations and base-policy optics are politically sensitive in Okinawa.

INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea and Japan to hold vice foreign ministerial talks on North Korea and bilateral issues

South Korea and Japan are set to convene vice foreign ministerial talks covering North Korea and bilateral agenda items, per Yonhap, continuing the diplomatic regularization of the relationship following the 2023 normalization process.

KOREA-JAPAN · THE JAPAN TIMES

Japan and South Korea agree to cooperate on recovery of remains from 1942 Chosei coal mine flooding

Japan and South Korea have agreed to cooperate on the recovery of remains of victims — including Korean Peninsula workers — from the 1942 flooding of the Chosei coal mine in Ube, Yamaguchi Prefecture, per the Japan Times, a concrete historical-reconciliation step within the bilateral normalization framework.

KOREA-JAPAN · YONHAP

ROK President Lee calls expanding cooperation with Japan 'task of this era' amid global upheaval

South Korean President Lee described expanding cooperation with Japan as the defining geopolitical task of the current era at the Yonhap-hosted forum on bilateral economic ties, per Yonhap, with SK Group chief also projecting *$1 trillion* in potential economic synergies between the two countries.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

PACIFIC FORUM

Issues & Insights 26.14 - The Transpacific Pivot: Latin America As The Catalyst For Japan's Updated Free And Open Indo-Pacific (FOIP)

> *Latin America's growing strategic weight offers Japan a concrete lever to update and operationalize its Free and Open Indo-Pacific concept beyond its traditional Asia-Pacific frame.*

The Pacific Forum's Issues & Insights 26.14 argues that Japan's FOIP vision has stagnated as a primarily Asia-centric concept and that Latin America — via trade diversification, critical mineral supply chains, and digital infrastructure partnerships — can serve as the catalyst for a genuinely transpacific iteration. The paper positions FOIP renewal as a

response to supply-chain fragmentation and US-China competition for influence in the Western Hemisphere. It frames Japan's engagement with Latin America not as peripheral diplomacy but as a structural reorientation of Tokyo's strategic geography.

SO WHAT With the Takaichi government seeking to demonstrate a 'Japan is Back' narrative at the one-year mark, a concrete Latin America dimension to FOIP could provide both diplomatic content and economic security diversification — particularly for critical minerals — ahead of G7 and Quad planning cycles.

HUDSON INSTITUTE

The Future of US-Japan Cooperation in a Competitive World: Economic Security and Strategy

> *US-Japan economic security cooperation requires a more integrated strategic framework that goes beyond sector-specific export controls to address systemic competition with China.*

The Hudson Institute piece examines how the United States and Japan can deepen economic security cooperation in a competitive global environment, with a focus on semiconductor supply chains, critical minerals, and investment screening. It argues that existing bilateral mechanisms — including the $550 billion strategic investment framework — lack the connective tissue to translate sector-specific deals into durable strategic advantage. The paper calls for a more institutionalized joint economic security architecture with clearer governance and enforcement mechanisms.

SO WHAT Directly relevant to the METI/Commerce track of US-Japan cooperation as both governments manage export-control alignment and China economic-coercion pressure through late 2026.

UPCOMING

Nov 3

US midterm elections — results bearing on Japan policy

American voters head to the polls today in US midterm elections; NHK is covering results live. Congressional outcomes will affect Japan-related legislation, defense authorization, and trade posture.

Nov 9

Japan-Vietnam summit — crime-prevention pact expected to be confirmed

Japan and Vietnam plan to confirm a new bilateral agreement on mutual notification of arrested or detained nationals at a leaders' summit on November 9, per Jiji Press and the Japan Times.

Dec 1

BOJ Monetary Policy Meeting — December rate hike widely expected

Market consensus has locked in a BOJ rate increase at the December meeting following the November hold at 1.25%; path beyond 1.5% remains contested among board members. Exact date to be verified from BOJ calendar.

Dec 31

Year-end deadline for Japan defense spending framework decision

The government and ruling coalition face a year-end deadline on whether to nearly double defense spending over five years; the Japan Times reports a ~$500 billion plan is under active consideration, with the December budget cycle as the decision window.

Mar 31

Host-Nation Support Special Measures Agreement expires

The current HNS agreement (approximately ¥211 billion/year) runs through March 31, 2027; negotiations for a successor agreement will intensify through the winter Diet session.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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generated 7:07 AM ET

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